

Multiple Choice

1. **Answer:** B

Options: A) Country A also has a financial account surplus.; B) Country A has a financial account deficit.; C) Country A must borrow from its foreign reserves.; D) Country A is operating in a recessionary gap.

Note: Correct option: B - Country A has a financial account deficit.

2. **Answer:** C

Options: A) The price elasticity of demand is unit elastic.; B) The price elasticity of demand is inelastic.; C) The price elasticity of demand is elastic.; D) The numerical coefficient of elasticity is equal to one.

Note: Correct option: C - The price elasticity of demand is elastic.

3. **Answer:** D

Options: A) Speculation that the peso will increase in value; B) An increase in interest rates in Mexico relative to other countries; C) A lower rate of inflation in Mexico relative to other countries; D) A decrease in the international demand for Mexican-made textiles

Note: Correct option: D - A decrease in the international demand for Mexican-made textiles

4. **Answer:** B

Options: A) \$20; B) \$180; C) \$2,000; D) Greater than 200butlessthan500

Note: Correct option: B - \$180

5. **Answer:** D

Options: A) AVC that first rises, but eventually falls, as output increases.; B) AFC that first rises, but eventually falls, as output increases.; C) MP that first falls, but eventually rises, as output increases.; D) MC that first falls, but eventually rises, as output increases.

Note: Correct option: D - MC that first falls, but eventually rises, as output increases.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** \$4. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** To fight inflation. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key